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Global Macro Commentary | North America

July 31: Rates Reprice Higher

Fed dissenters argued for tighter policy; US data exceeded expectations; yen gained on intervention reports; Asian tech rebounded; Colombia held rates; oil rose; DXY at 99.74 (-0.1%); US 10y at 4.73 (+6.1bp).

Firm US activity data and persistent inflation concerns lifted global yields, while reported US-Japan coordination strengthened JPY and an outsized Asian technology rebound supported equities.

Developed Markets

- **US rates bear-steepened modestly, with the belly leading the sell-off (2y: +4.5bp; 10y: +6.1bp; 30y: +5.9bp).** The move followed stronger-than-expected releases across employment costs, manufacturing activity, and consumer sentiment, reinforcing the view that growth remained resilient. Second-quarter employment costs rose 0.9% q/q against expectations for 0.8%, while the July MNI Chicago barometer and final University of Michigan sentiment index also exceeded consensus. Dallas Fed President Logan and other officials who dissented from this week's decision to hold rates argued that additional restraint was needed to return inflation to target. Richmond Fed President Barkin described the adequacy of the current policy setting as a close call, adding to the debate over whether the Fed had delayed tightening for too long.

- **Longer-dated Treasuries remained under pressure as investors reassessed the Fed's inflation-fighting framework and absorbed another rise in oil prices**. The 30y yield reached 5.28% intraday, while demand for options protection continued to target a further increase in long-end yields. Brent gained 1.2% to $90.12/bbl and WTI rose 2.8% to $85.95/bbl amid continued disruption risks around Middle Eastern shipping and reports of a potential halt to Caspian Pipeline Consortium operations. US breakevens widened across the curve (2y: +3.0bp; 10y: +2.4bp; 30y: +2.3bp), consistent with the renewed energy-price impulse. Separately, the Treasury reportedly considered placing part of its cash balance into the repo market, while overnight funding remained orderly near prevailing policy rates.

- **US equities advanced despite higher yields, supported by renewed optimism around artificial-intelligence investment and strong earnings from large-cap technology companies (S&P 500: +0.7%; NASDAQ: +1.0%)**. Consumer Discretionary (+6.1%) and Communication Services (+4.6%) led sector gains, while Materials (-2.7%), Utilities (-0.7%), and Real Estate (-0.7%) underperformed. Semiconductor-related shares benefited from evidence that demand for computing capacity remained above available supply, although investors continued to differentiate between companies demonstrating near-

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term monetization and those facing open-ended spending requirements. The VIX declined 6.4% to 15.99, suggesting that the equity rebound reduced immediate hedging demand despite elevated cross-market volatility. Gold fell 1.4% and silver declined 2.4% as higher real yields offset the modest weakening in the dollar.

- **The dollar weakened slightly (DXY: -0.1%), while JPY led G10 gains following further indications of official support (USD/JPY: -1.3%).** Japan was estimated to have purchased approximately $53bn of yen on Thursday, and US banks were reportedly asked by the New York Fed to check EUR/JPY rates on Friday, increasing speculation around coordinated action. USD/JPY fell to 157.40 after trading as high as 160.88, while yen futures volumes remained elevated after reaching a 12-year high in the prior session. The BoJ held its policy rate at 1%, but Governor Ueda emphasized upside inflation risks, the stronger transmission of FX moves into prices, and the possibility of accelerating hikes if financial conditions became too accommodative.

- **JGBs initially opened weaker in the Tokyo session, tracking the rise in U.S. Treasury yields overnight.** While selling pressure eased ahead of the BoJ policy announcement, the short-end remained elevated amid concerns that the BoJ could adopt a more hawkish stance following the suspected FX intervention overnight, whereas the super-long sector remained firm. The BoJ MPM statement and Outlook Report were not materially more hawkish than market expectations, and the initial market reaction was muted, leaving the market without a clear direction. Movements in the short-end were relatively modest, while sectors beyond five years steepened. As a result, the 2y JGB sold off by 1.0bp to 1.505%, 10y JGB unchanged at 2.795%, and 30y JGB sold off by 1.5bp to 3.98% on a simple yield basis. TONA-OIS sold off led by short end and underperformed JGBs. XCCY basis tightened across the curve. Market tone shifted somewhat during Governor Ueda's press conference. Governor Ueda noted the possibility that underlying inflation could overshoot and that inflation could accelerate more than expected, reinforcing concerns about upside inflation risks. USD/JPY moved higher during Tokyo hours despite apparent signs of FX intervention overnight, supported by dip-buying demand, and briefly approached the 161 level during the day. Governor Ueda's press conference helped limit further yen weakness but did not trigger a clear move toward yen appreciation. Entering London hours, however, USD/JPY at one point fell by more than one yen in a rapid move, heightening market vigilance.

- **Rates sold off across the euro area today, with the move beginning early in the session after inflation surprised to the upside, first at the national level and then in the euro area aggregate.** In France, CPI came in at 2.1% y/y versus 1.8% y/y expected, while euro area core inflation printed at 2.5% y/y compared with consensus at 2.4% y/y. A further leg higher in rates followed on spillovers from the US, leaving 5y EUR swaps around 7bp higher on the day.The move also pushed ECB meeting pricing higher, with December 2026 repricing by around 5bp. Curves were little changed in both cash and swap markets. In EGB spreads, OATs modestly underperformed BTPs, although the move was limited, with the 10y OAT-BTP spread widening by slightly less than 1bp.

Emerging Markets

- **AxJ currencies and rates mostly gained as tech stocks rebounded strongly. TWD and KRW exhibited different reaction.** TWD outperformed, gaining 0.5% alongside an 8.0% rebound in TAIEX, $1.9bn of foreign equity inflows and stronger-than-expected 2Q26 GDP growth. Meanwhile, KRW underperformed, weakening 1.0% despite a 17.9% rebound in KOSPI alongside a record $5.2bn foreign inflows in equities, even as unconfirmed reports suggested Korea sold USD on Thursday and Deputy Finance Minister for International Affairs Moon said that they are maintaining close coordination with the US and Japan. Korea rates outperformed, with the KRW NDIRS curve bull-flattening (10y: -6bp; 1y: -3bp) even as June industrial production came in stronger than expected. CNH weakened modestly by 0.1% as the USD/CNY fixing edged up to 6.7894 (P: 6.7892) despite the USD weakness on Thursday, while China rates remained broadly stable as July manufacturing PMI came in softer than expected.
- **Oil-sensitive currencies outperformed, tracking the decline in oil prices during the early Asia session.** INR gained 0.3% and the INR NDOIS curve shifted ~3bp lower, while 10y IGB yield rose 3bp amid a INR340bn 2026 G-sec auction. After Asia market hours, Bloomberg announced another delay in its decision on India's inclusion in the Global Aggregate Bond Index. THB strengthened ~0.2% alongside a narrower-than-expected June current account deficit even as gold prices fell ~1.1%. Thailand rates bull-flattened with the 5y NDTHOR yield down 4bp. IDR gained 0.5% and 10y IndoGB yield fell 2bp amid comments from BI Acting Governor Damayanti reiterating the central bank's policy stance remains unchanged.

- **LatAm FX traded mixed.** MXN outperformed, appreciating ~0.1%, while COP underperformed sharply, depreciating ~1.4% after Banco de la República unexpectedly held the policy rate at 12.00%, against consensus for a 50bp hike, and simultaneously announced a USD 4bn FX reserve accumulation program aimed at weakening the currency. Rates in the region traded weaker overall. Brazilian DI outperformed, rallying ~2-3bp across the curve despite limited price discovery after a technical outage at B3 halted trading across FX, equities, and interest-rate futures for nearly half the session before resuming in the afternoon. In contrast, COP IBR sold off following the BanRep decision, with the 1y and 10y rising around 3bp, while CLP CAM underperformed with the 10y moving ~9bp higher.

- **CEEMEA currencies were mixed as higher global yields competed with country-specific developments.** HUF weakened 0.7% against USD amid concerns over domestic energy shortages and requests for large industrial users to reduce electricity consumption. ZAR declined 0.2%, while South African bonds remained comparatively stable after stronger fiscal revenue supported expectations for further sovereign-rating improvement. PLN and CZK weakened modestly. Turkey remained exposed to elevated energy costs, with economists expecting disinflation to continue only gradually and policy rates to remain unchanged through year-end.

Central Bank Monitor

Developed Markets

- **BoJ July Monetary Policy Decision:** 1.00% (MSe: 1.00%; C: 1.00%; P: 1.00%). The BoJ decided to keep the policy rate, namely the uncollateralized overnight call rate, at around +1.0% by an 8-1 majority vote. The decision to keep rates unchanged was in line with prior expectations and contained no surprise. That said, July Outlook Report and BoJ Ueda press conference were hawkish as he emphasized upside risks on underlying inflation due to the situation in Middle East, AI-driven inflation, and FX. Our economists accordingly brought forward their BoJ rate hike forecast from December 2026 and June 2027 to October 2026 and March 2027, respectively, with 25bp hikes at each meeting.
- In the UK, **BoE Chief Economist Pill** warned that energy and commodity price volatility stemming from the Middle East conflict could persist into 2027, with developments remaining "profoundly uncertain" and difficult to predict. He noted that risks to headline inflation are to the upside, flagged no signs of second-round effects thus far, and stressed that the MPC is not edging toward a rate increase.

Emerging Markets

- In Indonesia, **BI Acting Governor Damayanti** reiterated that the central bank remains in markets via spot, NDF and DNDF. She said that BI will focus on attracting capital inflows and strengthening coordination with the government to manage inflation, while maintaining its current policy stance focused on stability through the optimization of policy instruments. She added that Fed's latest remarks were hawkish and pointed to higher-for-longer interest rate, yields, and inflation.
- In Philippines, **BSP** said in a statement that it expects July inflation to settle within the 5.6–6.6% range. It noted that upside price pressures stemmed from elevated domestic fuel pump prices, higher electricity rates, rising fish prices, and PHP depreciation against a strong USD, but would be mitigated by lower prices for key food commodities. The BSP added that it will remain vigilant and guided by incoming data, while continuing to monitor developments in the Middle East for their implications for inflation and economic activity.

- In Thailand, **BoT Assistant Governor Chayawadee** said that Thailand's economic growth likely slowed in 2Q26 but should start to recover in 3Q26, supported by easing tensions in the Middle East and government stimulus measures. She added that Thailand could be removed from the US Treasury's currency monitoring list at its next review as Thailand meets only one of the three criteria
- **Colombia Monetary Policy Meeting**: 12.00% (MSe: 12.50%; P: 12.00%; C: 12.50%) BanRep held the policy rate unchanged at 12.00%, surprising both our economists and consensus, which expected a 50bp hike. The 4-3 vote split (four for hold, three for +50bp) suggests the hawkish bloc lost its majority only one meeting after regaining it in June. Despite headline inflation rising to 6.1%, core inflation remaining at 6.0%, and stronger-than-expected activity data, the Board leaned on the recent appreciation of the peso to justify the pause even as December 2026 and 2027 inflation expectations increased. The statement highlighted Middle East tensions and El Niño as upside risks but did not cite them as reasons for today's decision.
- **Colombia FX Reserve Accumulation**: BanRep announced a preventive FX reserve accumulation program of up to USD 4bn via put-option auctions that can only be exercised when USD/COP trades below its 20-day moving average. This is the third time BanRep has used this framework, following the 2018/19 and 2023/24 programs, and remains the central bank's preferred reserve accumulation instrument. While reserves are currently at adequate levels by IMF standards, the announcement likely suggests some discomfort with the recent appreciation of the peso. The monthly pace is similar to the 2018/19 program, although fundamentals are stronger today. We think that, absent a further deterioration in inflation expectations and with a stable COP, today's decision could pave the way for an extended pause, though renewed inflation de-anchoring and/or significant peso depreciation could require tightening to resume.

Exhibit 1: G4 Rates Closes

	US			Germany			UK			Japan		
Tenor	31-Jul	1d Δ (bp)	2wk	31-Jul	1d Δ (bp)	2wk	31-Jul	1d Δ (bp)	2wk	31-Jul	1d Δ (bp)	2wk
2y	4.291	4.5		2.817	5.6		4.398	6.6		1.486	1.2	
3y	4.352	5.5		2.840	5.7		4.507	7.3		1.715	1.7	
5y	4.449	6.2		2.941	5.6		4.595	6.9		2.019	(0.3)	
7y	4.590	6.4		3.043	5.4		4.777	6.9		2.484	(2.0)	
10y	4.735	6.1		3.205	5.1		5.049	6.5		2.786	(1.6)	
20y	5.288	6.3		3.630	4.8		5.695	6.4		3.669	(0.8)	
30y	5.272	5.9		3.703	4.5		5.776	6.1		3.971	(0.2)	

Source: Bloomberg, Morgan Stanley Research

Exhibit 2: Macro Closes

Majors				EM				Equities / Commodities			
Spot	31-Jul	1d Δ (%)	2wk	Spot	31-Jul	1d Δ (%)	2wk	Index	31-Jul	1d Δ (%)	2wk
DXY	99.74	(0.1)		CNH	6.75	0.1		S&P	7489.72	0.7	
EUR	1.153	(0.0)		INR	95.39	(0.3)		Stoxx	6358.01	0.2	
GBP	1.348	0.1		THB	33.39	(0.6)		FTSE	10868.05	(0.3)	
JPY	157.40	(1.3)		KRW	1439.05	1.1		Nikkei	64362.02	4.0	
CHF	0.808	0.3		ZAR	16.53	0.2		VIX	15.99	(6.4)	
AUD	0.702	(0.1)		MXN	17.34	(0.0)		Gold (S)	4046.15	(1.4)	
CAD	1.402	0.1		BRL	5.07	0.3		WTI (Fut)	85.99	2.9	

Source: Bloomberg, Morgan Stanley Research

Exhibit 3: Inflation Closes

US TIPS				10y Real Yields, BEI							
Tenor	31-Jul	1d Δ (bp)	2wk	10y	31-Jul	1d Δ (bp)	2wk	10y	31-Jul	1d Δ (bp)	2wk
5y	2.151	3.4		DBRi	0.975	4.6		BTPi	1.983	4.0	
BEI	2.286	2.9		BEI	2.034	1.0		BEI	2.037	1.8	
10y	2.447	3.7		UKTi	1.821	2.6					
BEI	2.285	2.4		BEI	3.228	3.9					
30y	3.035	3.6		JGBi	0.790						
BEI	2.238	2.3		BEI	1.988	(2.6)					

Source: Bloomberg, Morgan Stanley Research

Exhibit 4: G4 Central Banks

Central Bank OIS															
Fed	Implied	1d Δ (bp)	Total Δ	ECB	Implied	1d Δ (bp)	Total Δ	BOE	Implied	1d Δ (bp)	Total Δ	BOJ	Implied	1d Δ (bp)	Total Δ
EFFR (7/30)	3.630	0.0	--	EONIA (7/30)	2.185	0.0	--	SONIA (7/30)	3.732	0.0	--	TONAR (7/30)	0.979	0.0	--
09/16/26	3.810	3.8	1.3	09/10/26	2.411	2.4	1.3	07/30/26	3.734	3.7	0.0	07/31/26	0.995	1.3	1.6
10/28/26	3.880	3.9	1.8	10/29/26	2.480	2.5	1.8	09/17/26	3.807	3.8	(0.2)	09/18/26	1.083	4.8	10.4
12/09/26	3.994	4.0	2.8	12/17/26	2.609	2.6	3.7	11/05/26	3.943	3.9	(0.1)	10/30/26	1.203	(6.3)	22.4
01/27/27	4.040	4.0	2.7					12/17/26	4.057	4.0	1.6	12/18/26	1.268	27.3	28.9
01/00/00	0.000	0.0	0.0					02/04/27	4.157	4.1	1.6				
								03/18/27	4.251	4.2	8.0				

Source: Bloomberg, Morgan Stanley Research

Economic Releases

Developed Markets

- **US 2Q Employment Cost Index**: 0.9% (MSe:0.8%; C:0.8%; P:0.9%). The Employment Cost Index (ECI) rose 0.9% in the three months through June, accelerating from late last year and coming in above our 0.8% forecast. However, the year-over-year pace has largely stalled after slowing through last year, with wage growth continuing to moderate while benefit costs picked up. Average hourly earnings (AHE) continue to run faster than the ECI measure of private-sector wages, reflecting an ongoing shift in employment toward higher-paying jobs. Across industries, compensation growth was particularly firm in information, retail trade, and education.
- **Netherlands July 2026 HICP (flash)**: 2.9% y/y (MSe: 2.9% y/y; P: 2.5%); **CPI (flash)**: 3.1% y/y (MSe: 3.3% y/y; P: 2.9%).
- **France July 2026 HICP (flash)**: 2.4% y/y (MSe: 2.2% y/y; C: 1.9%; P: 2.0%); **CPI (flash)**: 2.1% y/y (MSe: 2.0% y/y; C: 1.8%; P: 1.8%). Services inflation rose notably to 2.4% y/y from 2.05%, driven by communication and accommodation costs. Energy also contributed, reflecting a lagged indexation to TTF natural gas prices.
- **Germany July 2026 Unemployment Rate**: 6.4% (MSe: 6.3%; C: 6.3%; P: 6.3%).
- **Euro Area July 2026 HICP (flash)**: 2.9% y/y (MSe: 2.9% y/y; C: 2.9%; P: 2.8%); **Core HICP (flash)**: 2.5% y/y (MSe: 2.4% y/y; C: 2.4%; P: 2.4%). Headline

printed in line with MSe and consensus. Core came in above expectations at 2.5%, with services edging up to 3.3% y/y from 3.2% and core goods rising to 0.9% from 0.7%. Food inflation fell more than anticipated to 1.2% from 1.5%, while energy rose to 10.0% from 8.5%, broadly in line with the pre-release forecast of 10.1%. Headline inflation is expected to remain above 3% in coming months, potentially peaking at 3.4% in December 2026.

- **Italy July 2026 HICP (flash)**: 2.9% y/y (MSe: 2.8% y/y; C: 2.8%; P: 3.0%); CPI (flash): 2.8% y/y (MSe: 2.8% y/y; C: 2.8%; P: 3.0%). Services inflation remained stable. Rising pump prices contributed to the energy component, partially offset by favorable base effects and a smaller-than-expected increase in household utility costs.

Emerging Markets

- **Korea June Industrial Production**: 5.8% y/y (C: 3.0%; P: -1.1%)
- **China July Manufacturing PMI**: 49.2 (MSe: 50.1; C: 50.1; P: 50.3); **Non-manufacturing PMI**: 49.0 (C: 50.0; P: 50.2); **Composite PMI**: 49.3 (P: 50.6)
- **Singapore June M2 Money Supply**: 4.0% y/y (P: 4.1%); **Unemployment Rate**: 2.0% (C: 2.1%; P: 2.0%)
- **Thailand June Current Account Balance**: -$3.5bn (C: -$3.9bn; P: -$6.4bn); **Trade Balance**: -$2.7bn (P: -$2.6bn); **Exports**: 21.1% y/y (P: 9.8%); **Imports**: 48.9% y/y (P: 34.5%); **Balance of Payments**: $567mn (P: -$96mn); **July 24 FX Reserves**: $272.6bn (P: $276.0bn)
- **Taiwan 2Q26 Advance GDP**: 12.9% y/y (MSe: 10.1%; C: 10.5%; P: 14.6%)
- **Hong Kong 2Q26 Advance GDP**: 4.3% y/y (C: 4.9%; P: 5.9%); **June M3 Money Supply**: 2.6% y/y (P: 1.0%)
- **India June YTD Fiscal Deficit**: INR3.1tr (P: INR1.6tr)
- **India July 24 FX Reserves**: $682.4bn (P: $676.2bn)
- **Chile June Industrial Production:** 1.3% (P: -7.5% y/y; C: -3.5%). Industrial production surprised to the upside, returning to growth after May's sharp contraction, largely due to stronger mining output. Combined with stronger retail sales, today's data increase the likelihood of a stronger IMACEC print and raise the bar for a September BCCh rate cut.
- **Chile June Unemployment Rate**: 9.4% (P: 9.40%; C: 9.50%). The unemployment rate came in slightly below consensus, although labor market quality remained weak. Formal employment continued to contract while job creation remained concentrated in informal and self-employed categories.
- **Colombia June Urban Unemployment Rate**: 8.0% (P: 8.50%; C: 8.50%). Urban unemployment surprised to the downside, pointing to a stronger labor market than expected and reinforcing the recent resilience in domestic activity.

The Day Ahead

Developed Markets

- 7:00am BST - **Germany Jun Retail Sales** (MS: -0.3%M, C: -, P: 1.1%M)
- 9:00am BST - **Euro Area Jul PMI Manufacturing (Final)** (MS: 52.0, C: -, P: 52.0)
- 9:30am BST - **UK Jul PMI Manufacturing (Final)** (MS: 52.8, C: -, P: 52.8)
- 10:00am ET - **US July ISM Manufacturing** (C:53.9; P:53.3). We are tracking the July ISM Manufacturing PMI at 53.8, up from 53.3 in June. The regional manufacturing surveys and the national S&P Global Manufacturing Flash PMI in July reported broadly consistent signals: continuing strength in demand and production, and rising labor demand. Both prices received and prices paid decelerated. The easing in prices received echoes our view that tariff pass-through is nearly complete or has already been completed. The deceleration in prices paid likely reflects lower energy prices before the recent re-escalation in the Middle East, as most survey collection windows likely missed the subsequent rebound. We expect similar patterns in the ISM Manufacturing survey.
- 10:00am ET - **US June Construction Spending m/m** (C:0.2%m/m; P:0.1%). Our -0.1% forecast for construction spending reflects continued decline in business investment in structures and a new drop in single-family construction spending.

Emerging Markets

- Saturday, 8:00am HKT - **Korea July Exports** (C: 60.6%% y/y; P: 70.7%); **Imports** (C: 27.9%; P: 30.0%); **Trade Balance** (C: $29.5bn; P: $36.1bn)
- Monday, 8:30am HKT –**S&P Global July Manufacturing PMI**: **Korea** (P: 52.1); **Indonesia** (P: 46.9); **Malaysia** (P: 50.7); **Philippines** (P: 50.9); **Thailand** (P: 53.6); **Taiwan** (P: 55.2)
- 9:45am HKT - **China July RatingDog Manufacturing PMI** (C: 52.0; P: 51.7)
- 12:00pm HKT – **Indonesia June Exports** (C: -0.40% y/y; P: -5.73%); **Imports** (C: 22.30% y/y; P: 22.16%); **Trade Balance** (C: -$0.8bn; P: -$1.6bn); **July CPI** (C: 3.16% y/y; P: 3.34%); **CPI Core** (C: 2.79% y/y; P: 2.76%)
- 1:00pm HKT – **India July HSBC Final Manufacturing PMI** (P: 53.9)
- 3:30pm HKT – **Thailand July Business Sentiment Index** (P: 46.1)
- 8:30am ET - **Chile June Economic Activity Index (IMACEC)** (P: -0.9% y/y; C: 1.80%) Following today's stronger-than-expected activity data, risks to the IMACEC print appear skewed to the upside. A strong release would raise the question of whether Chile avoided a technical recession in 1H26 and could raise the bar for a September cut, although further inflation stabilization remains key.

For more details, please refer to our economists' weekly reports and data previews:

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- *Europe*
- *Japan*
- *Asia/Pacific*
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(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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